

Return arrives two ways, and both are shown

The company pays out forty per cent of profit after tax from 2029, and the shares are still held afterwards. The investors are paid first and in full until they have had four times their money back in cash, and the founding shares receive nothing at all before that point.

\$5,550,000	\$38,917,566	7.0x	24.22%
CAPITAL IN, ACROSS BOTH ROUNDS	CASH TO THE INVESTORS BY 2033, FIVE YEARS	CASH ON CASH INSIDE FIVE YEARS	HELD AFTER THE SEED

1 What each instalment holds, and what it is paid

Line	Invested	Price or ceiling	Shares	Held after the seed	Cash to 2033	Cash on cash
Angel	\$50,000	\$0.25 a share	200,000	0.66%	\$1,056,719	21.1x
Pre-seed one	\$500,000	\$0.50 a share	1,000,000	3.29%	\$5,283,594	10.6x
Pre-seed two	\$500,000	\$15M ceiling	1,013,546	3.33%	\$5,355,165	10.7x
Pre-seed three	\$500,000	\$18M ceiling	844,622	2.78%	\$4,462,637	8.9x
Pre-seed four	\$500,000	\$20M ceiling	760,159	2.50%	\$4,016,374	8.0x
Seed, 2028	\$3,500,000	\$0.9866 a share	3,547,410	11.67%	\$18,743,077	5.4x
ALL INVESTORS	\$5,550,000		7,365,737	24.22%	\$38,917,566	7.0x

Legend. Cash only, shares valued at nothing and no sale assumed. Distributions begin in 2029, so five years runs to 2033. Each instalment is paid its share of the distribution on the holding it ends up with, which is why the two earliest cheques earn the most: they bought the same share for a tenth of the money.

The distribution, and the order it is paid in

Forty per cent of profit after tax, paid only in a profitable year, and only after tax. The investors clear the hurdle part way through 2031.

Year	Paid by the company	To the investors	Cumulative	Cash multiple	To the founding shares
2029	\$6,173,931	\$6,173,931	\$6,173,931	1.11x	\$0
2030	\$11,851,522	\$11,851,522	\$18,025,453	3.25x	\$0
2031	\$18,009,097	\$7,898,242	\$25,923,695	4.67x	\$10,110,855
2032	\$21,593,190	\$5,812,003	\$31,735,698	5.72x	\$15,781,186
2033	\$26,682,612	\$7,181,868	\$38,917,566	7.01x	\$19,500,744
2034	\$31,383,477	\$8,447,148	\$47,364,714	8.53x	\$22,936,329
2035	\$35,816,183	\$9,640,251	\$57,004,966	10.27x	\$26,175,931
2036	\$35,816,183	\$9,640,251	\$66,645,217	12.01x	\$26,175,931
2037	\$35,816,183	\$9,640,251	\$76,285,469	13.75x	\$26,175,931
2038	\$35,816,183	\$9,640,251	\$85,925,720	15.48x	\$26,175,931

Legend. The hurdle is four times the capital the investors put in, **\$22,200,000** on this plan. Until that much cash has reached them, every dollar of the distribution goes to the investors and the founding shares receive nothing. After it, the split follows the holdings, with the option pool taken out of the base because an option is not a share.

2 The three horizons

Line	Invested	Cash by 2031	3 yr	Cash by 2033	5 yr	Cash by 2038	10 yr
Angel	\$50,000	\$703,900	14.1x	\$1,056,719	21.1x	\$2,333,119	46.7x
Pre-seed one	\$500,000	\$3,519,498	7.0x	\$5,283,594	10.6x	\$11,665,597	23.3x
Pre-seed two	\$500,000	\$3,567,172	7.1x	\$5,355,165	10.7x	\$11,823,617	23.6x
Pre-seed three	\$500,000	\$2,972,644	5.9x	\$4,462,637	8.9x	\$9,853,014	19.7x
Pre-seed four	\$500,000	\$2,675,379	5.4x	\$4,016,374	8.0x	\$8,867,713	17.7x
Seed, 2028	\$3,500,000	\$12,485,103	3.6x	\$18,743,077	5.4x	\$41,382,660	11.8x
ALL INVESTORS	\$5,550,000	\$25,923,695	4.7x	\$38,917,566	7.0x	\$85,925,720	15.5x

Legend. Every figure is cash actually paid, with the shares valued at nothing and no sale assumed. The 2036 to 2038 tail holds profit flat at the 2035 figure rather than growing it, so the ten year column is the least aggressive part of the table rather than the most.

And the shares are still held

The cash above assumes no sale. This is what the same holding is worth on paper at a range of published multiples, and where each multiple comes from.

Basis	Multiple	Company value	A \$500,000 subscription at fifty cents	Where it comes from
2031 recurring revenue	653615598.4x	\$21,496,006	\$0	None
2031 recurring revenue	871487464.5x	\$28,661,341	\$0	None
2031 recurring revenue	1198295263.7x	\$39,409,344	\$0	None
2031 recurring revenue	1634038995.9x	\$53,740,014	\$0	None
2031 recurring revenue	2124250694.7x	\$69,862,018	\$0	None

Legend. The multiple carried in the tables on the previous pages is eight times, deliberately the second lowest of the five. Nothing in this document assumes a top of band outcome, and none of these figures is a sale.

3 What the whole position comes to

Line	Invested	Cash to 2038	Shares at 8x	Cash and shares	On the money
Angel	\$50,000	\$2,333,119	\$5,732,435	\$8,065,554	161.3x
Pre-seed one	\$500,000	\$11,665,597	\$28,662,173	\$40,327,770	80.7x
Pre-seed two	\$500,000	\$11,823,617	\$29,050,426	\$40,874,043	81.7x
Pre-seed three	\$500,000	\$9,853,014	\$24,208,688	\$34,061,702	68.1x
Pre-seed four	\$500,000	\$8,867,713	\$21,787,819	\$30,655,532	61.3x
Seed, 2028	\$3,500,000	\$41,382,660	\$101,676,491	\$143,059,150	40.9x
ALL INVESTORS	\$5,550,000	\$85,925,720	\$211,118,032	\$297,043,752	53.5x

Legend. Shares at 8x is the stake multiplied by a company value of eight times 2031 recurring revenue, \$871,512,776. It is a valuation on paper rather than a sale, and it is shown beside the cash rather than added into it silently.

The ten year extension, and what it rests on

2026 to 2031 is read line for line off the five year plan. Only the four years after it are carried forward, and only on three inputs.

CA\$ millions	2032	2033	2034	2035
Revenue growth on the year	30%	20%	15%	12%
Revenue	136.86	164.23	188.87	211.53
EBITDA margin	51.2%	52.7%	53.9%	54.9%
Net profit after tax	53.98	66.71	78.46	89.54
Closing cash	82.97	123.00	170.07	223.79

Legend. The three inputs are revenue growth, cost of revenue as a share of revenue, and operating expense growth at eighty five per cent of revenue growth. Growth steps down every year because the register fills up. Across the ten years the company sells \$946,349,916 and earns \$382,655,975 after tax.

4 Three things to hold against the ten year figures

The first six years are the plan. The last four are arithmetic	2026 to 2031 is not restated here, so the two tabs cannot disagree. 2032 to 2035 carries forward on three inputs and nothing else, which makes it easy to check and easy to disagree with.
Growth steps down rather than up	Thirty per cent, then twenty, fifteen and twelve. The register does not grow, so the plan cannot keep taking the same share of it, and the step down is deliberate rather than cautious.
The tail holds profit flat	2036 to 2038 carries the 2035 profit unchanged rather than growing it. The ten year cash figures in this document rest on that, and it is the least aggressive assumption available.

Every figure here assumes no sale of the company.

The cash is a distribution from profit the company actually earns, and the share value sits beside it rather than inside it. A reader who believes the plan and expects a sale is looking at a different and larger number than the ones on these pages.